

For instance, if Bitcoin influences how remittances are handled, what impact may that have on stocks like Western Union, a remittances kingpin? If Ethereum takes off as a decentralized world computer, will that have any effect on companies with cloud computing offerings, such as Amazon, Microsoft, and Google? If companies can get paid more quickly and with lower transaction fees using the latest cryptocurrency, will that have an impact on credit card providers like Visa and American Express?

EXPONENTIAL DISRUPTION

Clayton Christensen, a professor at Harvard Business School, wrote the seminal text on how large companies, often referred to as incumbents, struggle with maneuvering around exponential change. In *The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail*, Christensen makes no qualms about how even the most well managed of firms can fail when confronted with a technology that threatens to disrupt their market. Broadly disruptive technologies lay the foundation for new growth, with the most influential blossoming into what are called general purpose technologies, which include electricity, the automobile, the Internet, and yes, blockchain technology. While such growth provides many opportunities, even if large companies recognize the potential of a technology, they are often handcuffed when they try to capitalize on it. The problem they face is threefold: